

Short duration nation

#australia

#luciellis

#bonds

#housing

#interestrates



By Luci Ellis

Chief Economist Westpac Group, Westpac

14:48 August 28 2026

Share

Tax and regulatory settings make widespread 30-year fixed-rate mortgages unlikely in Australia, and bond yields matter less for financial conditions than in some other countries.



- High bond yields have spurred the US government into manoeuvres to contain debt-servicing costs. They also matter for the US mortgage market, where mortgages are mostly fixed-rate. Existing

borrowers by definition do not face higher repayments when bond yields rise, but they can feel 'trapped' by the high cost of moving or refinancing.

- The US model of 30-year fixed rate mortgages that are cheap to refinance is unlikely to be replicated in Australia. It only exists because of significant government intervention. Our tax, prudential regulation and superannuation systems also favour floating interest rates, even for loans with long contractual maturity like mortgages.
- Long yields still matter for fiscal policy, and our corporate bond market is attractive to both domestic and offshore (Kangaroo) issuers and investors. But when thinking about financial conditions from a monetary policy perspective, the short end of the yield curve matters far more than in some countries.

Ten-year bond yields have breached 5% in Australia and the UK in recent weeks and are in the 4.6–4.8% range for US Treasuries, levels that have not been seen for some years. As discussed last week, this has spurred the US government to try to rearrange its finances to dampen yields. Its concerns go beyond the cost of servicing its own debt. In a mortgage market with predominantly fixed-rate loans, high bond yields drag mortgage rates up. Existing borrowers are insulated, but higher rates discourage moving, refinancing and home ownership. Demand for new homes is lower, weakening homebuilding activity, and some households feel 'trapped' by their current low mortgage rate. The cash-flow effects of monetary policy are therefore more concentrated on prospective borrowers and movers in a way that differs from Australia, where most mortgages reprice when the RBA tightens.

Some Australian observers see that relative insulation from interest rates and wish our system could be more like the US system. The reality is that the 30-year fixed-rate mortgage that is also cheap to refinance is almost unique to the US market and relies on a raft of expensive government interventions. From the government-sponsored entities (Fannie Mae, Freddie Mac, both still in government conservatorship, along with Ginnie Mae) to the network of Federal Home Loan Banks, the US mortgage market is built on an unusually large public infrastructure. Even other markets with shorter fixed terms sometimes rely on government interventions, such as Canada's Canadian Mortgage and Housing Corporation insuring securitised loans.

Countries that intervene less in their mortgage markets mostly follow one of two patterns. Some, like Germany, offer fixed-rate mortgages, but refinancing or moving before the term expires involves expensive break fees, to compensate lenders for the interest rate risk. Borrowers cannot refinance cheaply into a lower rate when bond yields fall. The secondary markets for housing in these countries tend to be less liquid, and home ownership rates are often lower than in Australia – below 50% in the case of Germany.

The tax system favours it

The other model for mortgage markets is more like the Australian model, where loans have long terms but are mostly variable rate or only short-term fixes for 2–3 years. In Australia, this structure rests on a web of incentives for both households and financial institutions favouring that outcome.

For households, the main incentive comes from the tax system. For owner-occupiers at least, mortgage interest is not tax deductible, unlike in the US. Paying your mortgage out of post-tax income is a powerful incentive to pay it ahead of schedule. Doing so delivers a risk-free, post-tax return of the mortgage rate, which would be difficult to match elsewhere. The option of being able to pay ahead of schedule is therefore highly valuable to borrowers.

Because of the interest rate risk involved for lenders if the loan is fixed-rate, pre-payment is typically unavailable or at least limited for fixed-rate loans. This includes break fees on exit and limits on the payments into redraw facilities. The peculiarly Australian mortgage features of offset accounts and redraw facilities are rarely offered in countries where fixed-rate mortgages predominate. This means Australia's tax system encourages borrowers to value payment flexibility, which in turn favours variable-rate loans. Borrowers can insulate themselves from rate rises using pre-payment buffers, rather than needing a fixed interest rate to do this.

APRA incentivises it

The regulatory system also encourages variable-rate lending. Normally, banks are assumed to be in the business of "borrowing short" (e.g. deposits at call) and "lending long" (e.g. mortgages). Fixed rates normally include a term premium – a kind of insurance premium for the risk that funding rates move against the lender. By borrowing short and lending long, banks earn that spread as profit. This is a matter of interest rate risk: the effective maturity of at-call deposits is often very long, because people tend to stick with one bank for transactional banking for a while.

This strategy can occasionally blow up, however, if short rates (and so funding costs) rise above the average yield on one's assets. It can also blow up if the assets are bonds and other fixed-coupon assets that fall in value when long yields rise, as Silicon Valley Bank and other US banks found out the hard way a few years ago.

Australian banks are more protected from these risks because, unlike other regulators, APRA requires banks and other deposit-takers to hold capital against "interest rate risk in the banking book". Its "Pillar 1" approach is more prescriptive than the global Basel standards, which capture this risk in "Pillar 2", which is more about principles-based supervision rather than a capital requirement.

This changes the incentives for both lenders and borrowers. Instead of "borrowing short to lend long", Australian banks end up borrowing short to lend short: variable rate mortgages and three-month BBSW links for some other loans. A bank that funded long fixed-rate mortgages and business loans with floating-rate deposits, without an offsetting hedge, would incur more measured interest-rate risk and potentially a larger capital requirement.

The super system reinforces it

The design of the superannuation system also contributes to Australia being a short-duration nation. Almost all currently open superannuation funds in Australia are what is known as “defined contribution” (DC). Members contribute a pre-specified fraction of their wage, while the fund manager seeks the best returns, without guaranteeing outcomes. This structure favours allocation to equities rather than fixed-interest bonds, because on average their returns are higher (the “equity risk premium”).

This model contrasts with “defined benefit” (DB) pensions, where there is an explicit promise of a post-retirement income stream based on some formula such as fraction of final salary. These types of pension systems are seen in some other advanced countries, and they imply a long-dated liability that needs to be matched, usually with fixed-interest assets. A DC system does not have the same type of liability, so it has less need to liability-match.

As a DC system matures and more people move into retirement phase, fixed-interest portfolios might become more important. For now, though, Australia’s superannuation system generates less demand for long-term fixed-interest assets than a DB system would. This does not prevent Australian borrowers from accessing long-term funding through global capital markets, but it does mean there is less natural domestic demand for long-duration fixed-interest assets

Central bank watchers need to remember it

For all these reasons, Australia is a ‘short duration nation’. Long yields still matter for asset valuations, hurdle rates, fiscal policy and some forms of private financing activity. Our corporate bond market is attractive to both domestic and offshore (Kangaroo) issuers. But organic domestic demand and supply for fixed interest securities is lower than in some countries. Long yields therefore matter less for monetary policy transmission and should receive less weight in considerations of financial conditions than in, say, the US or Japan.

A few conclusions arise from this difference. First, a US-style 30-year mortgage that is both fixed-rate and cheap to refinance is unlikely to become the norm in Australia.

Second, assessments of financial conditions can put more weight on the short end of the yield curve than the long end. In the US, people sometimes trip themselves up when bond yields move, thinking that this shifts financial conditions and means that the Federal Reserve does not have to move the policy rate to achieve the same effect. If yields moved because market participants expect the Fed to move the policy rate, though, things can get quite circular. Central banks can only use higher yields as a reason not to hike (or lower yields as a reason to hike) a few times before credibility suffers.

Third, it matters why yields have moved. For example, yields might fall because inflation expectations have fallen. The apparently looser financial conditions this implies do not need to be offset. The broader point is that the relationship between financial conditions and the policy rate is not mechanical. This was the lesson the Bank of Canada and  Reserve Bank of New Zealand learned the hard way.

with their experiments with a Monetary Conditions Index in the 1990s, and that the RBA highlighted [at the time](#). And in a short duration nation like Australia, that lesson needs to be remembered when thinking about financial conditions in the present day.

Stay informed with Westpac IQ

Get the latest reports straight to your inbox.

Subscribe

Related articles



#australia

Australia and NZ Weekly 7 September 2026

September 04 2026 • ⌚ 10 mins

By [Luci Ellis](#), [Matthew Hassan](#), [Elliot Clarke](#) & [10 more](#)

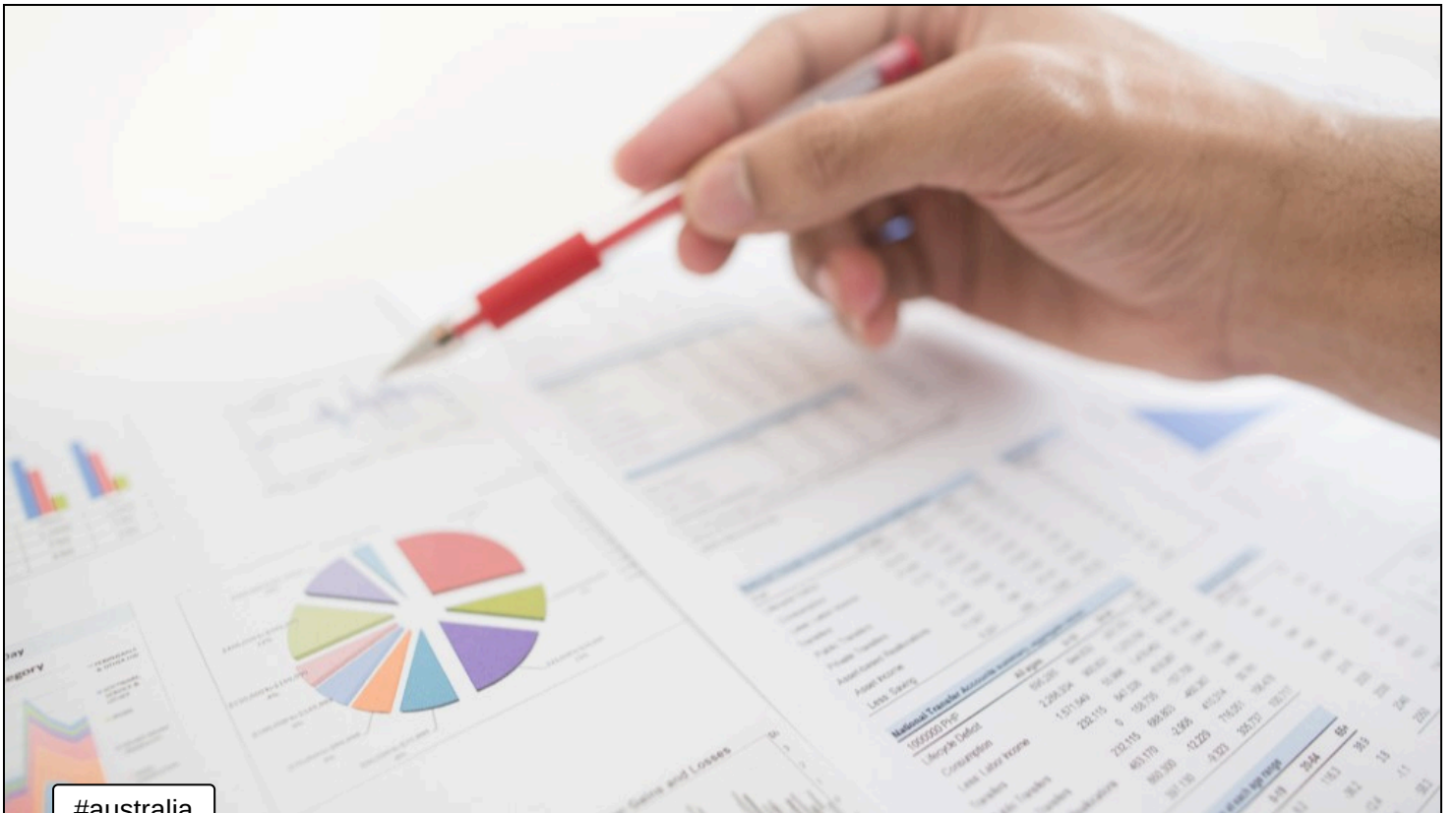


#australia

The national accounts inkblot test

September 04 2026 • ⌚ 5 mins

By Luci Ellis



#australia

Q2 GDP Partial & Forecast Update

September 01 2026 • ⌚ 5 mins

By [Pat Bustamante](#), [Mantas Vanagas](#), [Ryan Wells](#) & [1 more](#)

Browse topics

[#aud](#)[#australia](#)[#interestrates](#)[#nzd](#)[#usd](#)[#newzealand](#)[#rates](#)[#credit](#)

[#yieldcurve](#)[#acgb](#)[#inflation](#)[#semigovernment](#)[#rba](#)[#basis](#)[#commodities](#)

[#ustreasury](#)[#fx](#)[#jpy](#)[#rbnz](#)[#abs](#)[Show more tags](#)

Disclaimer

©2026 Westpac Banking Corporation ABN 33 007 457 141 (including where acting under any of its Westpac, St George, Bank of Melbourne or BankSA brands, collectively, “Westpac”). References to the “Westpac Group” are to Westpac and its subsidiaries and includes the directors, employees and representatives of Westpac and its subsidiaries.

Things you should know

We respect your privacy: You can view the [New Zealand Privacy Policy](#) here, or the [Australian Group Privacy Statement](#) here. Each time someone visits our site, data is captured so that we can accurately evaluate the quality of our content and make improvements for you. We may at times use technology to capture data about you to help us to better understand you and your needs, including potentially for the purposes of assessing your individual reading habits and interests to allow us to provide suggestions regarding other reading material which may be suitable for you.

This information, unless specifically indicated otherwise, is under copyright of the Westpac Group. None of the material, nor its contents, nor any copy of it, may be altered in any way, transmitted to, copied or distributed to any other party without the prior written permission of the Westpac Group.

Disclaimer

This information has been prepared by Westpac and is intended for information purposes only. It is not intended to reflect any recommendation or financial advice and investment decisions should not be based on it. This information does not constitute an offer, a solicitation of an offer, or an inducement to subscribe for, purchase or sell any financial instrument or to enter into a legally binding contract. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the appropriateness of the advice. Certain types of transactions, including those involving futures, options and high yield securities give rise to substantial risk and are not suitable for all investors. We recommend that you seek your own independent legal or financial advice before proceeding with any investment decision.

This information may contain material provided by third parties. While such material is published with the necessary permission none of Westpac or its related entities accepts any responsibility for the accuracy or completeness of any such material. Although we have made every effort to ensure this information is free from error, none of Westpac or its related entities warrants the accuracy, adequacy or completeness of this information, or otherwise endorses it in any way. Except where contrary to law, Westpac Group intend by this notice to exclude liability for this information. This information is subject to change without notice and none of Westpac or its related entities is under any obligation to update this information or correct any inaccuracy which may become apparent at a later date. This information may contain or incorporate by reference forward-looking statements. The words “believe”, “anticipate”, “expect”, “intend”, “plan”, “predict”, “continue”, “assume”, “positioned”, “may”, “will”, “should”, “shall”, “risk” and other similar expressions that are predictions of or indicate future events and future trends identify forward-looking statements. These forward-

looking statements include all matters that are not historical facts. Past performance is not a reliable indicator of future performance, nor are forecasts of future performance. Whilst every effort has been taken to ensure that the assumptions on which any forecasts are based are reasonable, the forecasts may be affected by incorrect assumptions or by known or unknown risks and uncertainties. The ultimate outcomes may differ substantially from any forecasts.

Conflicts of Interest: In the normal course of offering banking products and services to its clients, the Westpac Group may act in several capacities (including issuer, market maker, underwriter, distributor, swap counterparty and calculation agent) simultaneously with respect to a financial instrument, giving rise to potential conflicts of interest which may impact the performance of a financial instrument. The Westpac Group may at any time transact or hold a position (including hedging and trading positions) for its own account or the account of a client in any financial instrument which may impact the performance of that financial instrument.

Author(s) disclaimer and declaration: The author(s) confirms that (a) no part of his/her compensation was, is, or will be, directly or indirectly, related to any views or (if applicable) recommendations expressed in this material; (b) this material accurately reflects his/her personal views about the financial products, companies or issuers (if applicable) and is based on sources reasonably believed to be reliable and accurate; (c) to the best of the author's knowledge, they are not in receipt of inside information and this material does not contain inside information; and (d) no other part of the Westpac Group has made any attempt to influence this material.

Further important information regarding sustainability-related content: This material may contain statements relating to environmental, social and governance (ESG) topics. These are subject to known and unknown risks, and there are significant uncertainties, limitations, risks and assumptions in the metrics, modelling, data, scenarios, reporting and analysis on which the statements rely. In particular, these areas are rapidly evolving and maturing, and there are variations in approaches and common standards and practice, as well as uncertainty around future related policy and legislation. Some material may include information derived from publicly available sources that have not been independently verified. No representation or warranty is made as to the accuracy, completeness or reliability of the information. There is a risk that the analysis, estimates, judgements, assumptions, views, models, scenarios or projections used may turn out to be incorrect. These risks may cause actual outcomes to differ materially from those expressed or implied. The ESG-related statements in this material do not constitute advice, nor are they guarantees or predictions of future performance, and Westpac gives no representation, warranty or assurance (including as to the quality, accuracy or completeness of the statements). You should seek your own independent advice.

Additional country disclosures:

Australia: Westpac holds an Australian Financial Services Licence (No. 233714). You can access Westpac's Financial Services Guide [here](#) or request a copy from your Westpac point of contact. To the extent that this information contains any general advice, it has been prepared without taking into account your objectives, financial situation or needs and before acting on it you should consider the

appropriateness of the advice.

New Zealand: In New Zealand, Westpac Institutional Bank refers to the brand under which products and services are provided by either Westpac (NZ division) or Westpac New Zealand Limited (company number 1763882), the New Zealand incorporated subsidiary of Westpac ("WNZL"). Any product or service made available by WNZL does not represent an offer from Westpac or any of its subsidiaries (other than WNZL). Neither Westpac nor its other subsidiaries guarantee or otherwise support the performance of WNZL in respect of any such product. WNZL is not an authorised deposit-taking institution for the purposes of Australian prudential standards. The current disclosure statements for the New Zealand branch of Westpac and WNZL can be obtained at the internet address www.westpac.co.nz.

Singapore: This material has been prepared and issued for distribution in Singapore to institutional investors, accredited investors and expert investors (as defined in the applicable Singapore laws and regulations) only. Recipients of this material in Singapore should contact Westpac Singapore Branch in respect of any matters arising from, or in connection with, this material. Westpac Singapore Branch holds a wholesale banking licence and is subject to supervision by the Monetary Authority of Singapore.

Fiji: Unless otherwise specified, the products and services for Westpac Fiji are available from www.westpac.com.fj © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia and registered as a branch in Fiji. The liability of its members is limited.

Papua New Guinea: Unless otherwise specified, the products and services for Westpac PNG are available from www.westpac.com.pg © Westpac Banking Corporation ABN 33 007 457 141. This information does not take your personal circumstances into account and before acting on it you should consider the appropriateness of the information for your financial situation. Westpac Banking Corporation ABN 33 007 457 141 is incorporated in NSW Australia. Westpac is represented in Papua New Guinea by Westpac Bank - PNG - Limited. The liability of its members is limited.

U.S.: Westpac operates in the United States of America as a federally licensed branch, regulated by the Office of the Comptroller of the Currency. Westpac is also registered with the US Commodity Futures Trading Commission ("CFTC") as a Swap Dealer, but is neither registered as, or affiliated with, a Futures Commission Merchant registered with the US CFTC. The services and products referenced above are not insured by the Federal Deposit Insurance Corporation ("FDIC"). Westpac Capital Markets, LLC ('WCM'), a wholly-owned subsidiary of Westpac, is a broker-dealer registered under the U.S. Securities Exchange Act of 1934 ('the Exchange Act') and member of the Financial Industry Regulatory Authority ('FINRA'). In accordance with APRA's Prudential Standard 222 'Association with Related Entities', Westpac does not stand behind WCM other than as provided for in certain legal agreements between Westpac and WCM and obligations of WCM do not represent

liabilities of Westpac.

This communication is provided for distribution to U.S. institutional investors in reliance on the exemption from registration provided by Rule 15a-6 under the Exchange Act and is not subject to all of the independence and disclosure standards applicable to debt research reports prepared for retail investors in the United States. WCM is the U.S. distributor of this communication and accepts responsibility for the contents of this communication. Transactions by U.S. customers of any securities referenced herein should be effected through WCM. All disclaimers set out with respect to Westpac apply equally to WCM. If you would like to speak to someone regarding any security mentioned herein, please contact WCM on +1 212 389 1269. Investing in any non-U.S. securities or related financial instruments mentioned in this communication may present certain risks. The securities of non-U.S. issuers may not be registered with, or be subject to the regulations of, the SEC in the United States. Information on such non-U.S. securities or related financial instruments may be limited. Non-U.S. companies may not be subject to audit and reporting standards and regulatory requirements comparable to those in effect in the United States. The value of any investment or income from any securities or related derivative instruments denominated in a currency other than U.S. dollars is subject to exchange rate fluctuations that may have a positive or adverse effect on the value of or income from such securities or related derivative instruments.

The author of this communication is employed by Westpac and is not registered or qualified as a research analyst, representative, or associated person of WCM or any other U.S. broker-dealer under the rules of FINRA, any other U.S. self-regulatory organisation, or the laws, rules or regulations of any State. Unless otherwise specifically stated, the views expressed herein are solely those of the author and may differ from the information, views or analysis expressed by Westpac and/or its affiliates.

UK: The London branch of Westpac is authorised in the United Kingdom by the Prudential Regulation Authority (PRA) and is subject to regulation by the Financial Conduct Authority (FCA) and limited regulation by the PRA (Financial Services Register number: 124586). The London branch of Westpac is registered at Companies House as a branch established in the United Kingdom (Branch No. BR000106). Details about the extent of the regulation of Westpac's London branch by the PRA are available from us on request.

This communication is not being made to or distributed to, and must not be passed on to, the general public in the United Kingdom. Rather, this communication is being made only to and is directed at (a) those persons falling within the definition of Investment Professionals (set out in Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (the "Order")); (b) those persons falling within the definition of high net worth companies, unincorporated associations etc. (set out in Article 49(2) of the Order; (c) other persons to whom it may lawfully be communicated in accordance with the Order or (d) any persons to whom it may otherwise lawfully be made (all such persons together being referred to as "relevant persons"). Any person who is not a relevant person should not act or rely on this communication or any of its contents. In the same way, the information contained in this communication is intended for "eligible counterparties" and

“professional clients” as defined by the rules of the Financial Conduct Authority and is not intended for “retail clients”. Westpac expressly prohibits you from passing on the information in this communication to any third party.

European Economic Area (“EEA”): This material may be distributed to you by either: (i) Westpac directly, or (ii) Westpac Europe GmbH (“WEG”) under a sub-licensing arrangement. WEG has not edited or otherwise modified the content of this material. WEG is authorised in Germany by the Federal Financial Supervision Authority (‘BaFin’) and subject to its regulation. WEG’s supervisory authorities are BaFin and the German Federal Bank (‘Deutsche Bundesbank’). WEG is registered with the commercial register (‘Handelsregister’) of the local court of Frankfurt am Main under registration number HRB 118483. In accordance with APRA’s Prudential Standard 222 ‘Association with Related Entities’, Westpac does not stand behind WEG other than as provided for in certain legal agreements (a risk transfer, sub-participation and collateral agreement) between Westpac and WEG and obligations of WEG do not represent liabilities of Westpac. Any product or service made available by WEG does not represent an offer from Westpac or any of its subsidiaries (other than WEG). All disclaimers set out with respect to Westpac apply equally to WEG.

This communication is not intended for distribution to, or use by any person or entity in any jurisdiction or country where such distribution or use would be contrary to local law or regulation.

This communication contains general commentary, research, and market colour. The communication does not constitute investment advice. The material may contain an ‘investment recommendation’ and/or ‘information recommending or suggesting an investment’, both as defined in Regulation (EU) No 596/2014 (including as applicable in the United Kingdom) (“MAR”). In accordance with the relevant provisions of MAR, reasonable care has been taken to ensure that the material has been objectively presented and that interests or conflicts of interest of the sender concerning the financial instruments to which that information relates have been disclosed.

Investment recommendations must be read alongside the specific disclosure which accompanies them and the general disclosure which can be found [here](#). Such disclosure fulfils certain additional information requirements of MAR and associated delegated legislation and by accepting this communication you acknowledge that you are aware of the existence of such additional disclosure and its contents.

To the extent this communication comprises an investment recommendation it is classified as non-independent research. It has not been prepared in accordance with legal requirements designed to promote the independence of investment research and therefore constitutes a marketing communication. Further, this communication is not subject to any prohibition on dealing ahead of the dissemination of investment research.